

VINATI ORGANICS LIMITED

Three-Statement Financial Model & DCF Valuation

Equity Research Project | Yakuta Ali | B.Com, Mithibai College | July 2026

COMPANY OVERVIEW

Vinati Organics Limited (NSE: VINATIOGA) is India's leading specialty chemical manufacturer, globally recognized as the largest producer of Isobutyl Benzene (IBB) — a key pharmaceutical intermediate used in Ibuprofen manufacturing — and Acrylamido-2-Methylpropane Sulfonic Acid (ATBS), used in water treatment, oilfield chemicals, and specialty polymers. The company operates a virtually debt-free balance sheet, generates consistent free cash flows, and has delivered 13% compounded sales growth over the past decade.

WHY VINATI ORGANICS

This company was selected for three specific reasons. First, Vinati's position as global market leader in IBB and ATBS provides genuine pricing power and defensible competitive moat — rare characteristics in commodity-adjacent industries. Second, the business experienced a temporary revenue decline in FY2024 due to a global specialty chemical destocking cycle, creating an analytically interesting situation where near-term financials diverge from long-term fundamentals. Third, the China Plus One global sourcing strategy and India's specialty chemical sector CAGR of 12.2% provide a credible multi-year growth thesis grounded in macroeconomic data.

KEY FINANCIAL HIGHLIGHTS

Metric	FY2023	FY2024	FY2025	FY2026E
Revenue (₹ Cr)	2,072.7	1,900.0	2,248.1	2,517.9
Revenue Growth	22.1%	-9.1%	18.3%	12.0%E
EBITDA (₹ Cr)	623.6	508.9	629.5	733.4
EBITDA Margin	30.1%	26.8%	28.0%	29.1%E
Net Profit (₹ Cr)	419.2	323.4	415.2	483.7
Net Profit Margin	20.2%	17.0%	18.5%	19.2%E
EPS (₹)	40.43	31.20	40.05	46.6E
Debt to Equity	~0x	~0x	~0x	~0x

INVESTMENT THESIS

Near-Term Recovery (FY2026E-FY2027E): FY2024 revenue declined 9.1% due to a global specialty chemical destocking cycle — customers drew down existing inventory rather than placing fresh orders. FY2025 actual data confirmed the thesis: revenue recovered 18.3% as restocking began. The model projects 12% and 10% growth for FY2026E and FY2027E as this recovery moderates to structural growth rates.

Structural Tailwinds: The China Plus One strategy is redirecting global specialty chemical procurement toward Indian manufacturers. India faces 26% US tariffs versus China's 54% — maintaining a significant competitive advantage. Vinati's ATBS segment serves clean energy and water treatment markets with secular growth. India's specialty chemicals sector is projected to grow at 12.2% CAGR supported by government infrastructure investment under the Viksit Bharat initiative.

Key Risks: Raw material cost volatility (crude oil linked inputs), customer concentration (approximately 40 global clients), Chinese chemical dumping creating short-term pricing pressure, and US tariff policy uncertainty post-April 2025 announcement.

DCF VALUATION SUMMARY

Assumption / Output	Value
WACC	11.65%
Terminal Growth Rate	5.0%
Projection Period	FY2026E — FY2028E
Sum of PV of Free Cash Flows	₹1,100 Crores
PV of Terminal Value	₹6,863 Crores
Enterprise Value	₹7,964 Crores
Net Debt Adjustment	(₹52.6 Crores)
Equity Value	₹7,911 Crores
Intrinsic Value Per Share	₹762.87

Current Market Price	₹1,312
Upside / Downside	-41.85%
Recommendation	AVOID — Overvalued at current price

Valuation Note: The AVOID recommendation reflects conservative projection assumptions. Market premium over intrinsic value likely reflects Vinati's quality track record, management credibility, and optionality from Veeral Organics subsidiary expansion not captured in base projections. A bull case with 15% revenue growth and margin expansion to 32% EBITDA would yield meaningfully higher intrinsic values.

WHAT THIS PROJECT TAUGHT ME

This project was built from scratch — reading annual reports, extracting and verifying every number, building formulas, and grounding every assumption in actual data rather than generic estimates. The process taught me that financial modeling is not about Excel mechanics — it is about understanding why a business performs the way it does and translating that understanding into defensible numerical projections.

Key analytical skills developed: reading and interpreting Management Discussion and Analysis sections, calculating and interpreting financial ratios including debtor days, inventory days, and margin trends across five years of data, understanding the mechanical links between income statement, balance sheet, and cash flow statement, building DCF valuation using CAPM-derived discount rates, and forming independent investment theses grounded in industry research.